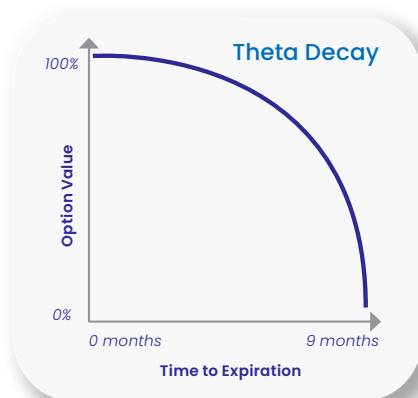


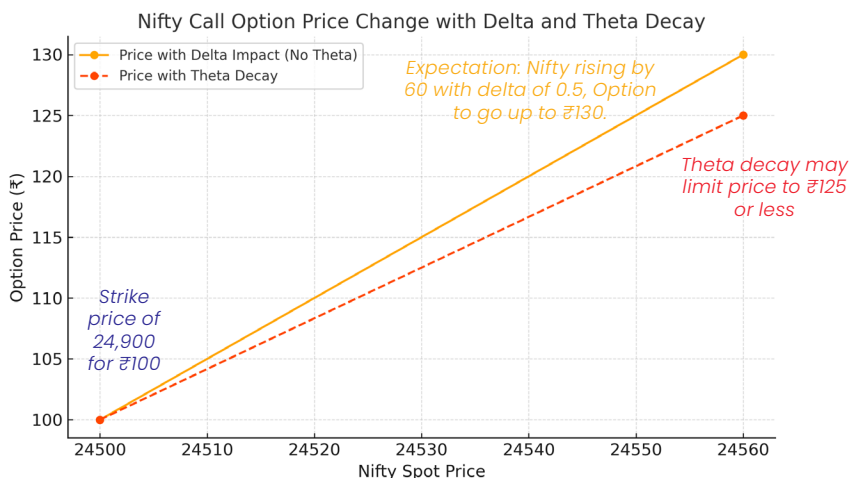
C. Theta Decay - θ

As discussed earlier, an option's trading price has intrinsic and time value. **The time value of an option declines as we move closer to expiry.** The probability of the option turning profitable within the given time frame is dropping. This phenomenon is called theta decay. Let us take an example.



Suppose I bought a Nifty call option with a strike price of 24,900 for ₹100. Nifty was at 24,500. I expect that Nifty will rise by 60 tomorrow.

If the delta is 0.5, my option's price should increase to ₹130 ($₹100 + 0.5 \times 60$). However, due to theta decay, my option's price may increase only to ₹125 or anything lower than ₹130.



Theta decay is not uniform. It accelerates as time runs out. In weekly options, the theta decay on the first day will be substantially lower than in the last few days.